

ENGLISH **LIVE**

5

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 5

13th January, 2017

Not RBI's Job to Oppose Government

Policy is government's domain, execution RBI's

Many people have tended to read into the Reserve Bank of India's statement that demonetisation of ₹500 and ₹1,000 notes had been suggested to it by the government of India implications that probably are not warranted. The central bank has lost its autonomy and credibility affected, say some, including former Reserve Bank of India governor Yaga Venugopal Reddy. If the assumption is that the central bank should have resisted the move to demonetise high-denomination notes, that assumption is misplaced. The Reserve Bank of India or any other central bank had the duty to carry out the will of the sovereign, as articulated by the duly elected government of the day. Its job is to carry out that mandate well, planning and implementing its execution in an optimal fashion.

In the democratic system of government, the people are the sovereign and Parliament their representative forum. Parliamentary majority throws up the political leadership of the executive. As a political leadership that



enjoys the confidence of the elected people's representative forum, it has the authority of the people to take decisions in their welfare and on their behalf. If the political leadership makes mistakes in their choice of action and policy, the people will punish them. The government's accountability

is to the people. If the government of the day thinks certain currencies have to be demonetised, it is not for an institution with a narrowly defined mandate to thwart that policy choice. This does not mean that the government can take decisions that violate the laws of the land: the courts would step in, if laws are violated.

That being the case, the questions to be asked are different. Did the central bank advise the government as to how to go about demonetising two widely used notes in the least disruptive fashion? Did it devise a plan of action that was optimal? Did it manage execution of the plan efficiently and coherently? All these questions can be answered only in the negative. So, it is inevitable that the Reserve Bank of India will face some flak. But it was not its job to have resisted demonetisation.

THE ECONOMIC TIMES

11th January 2017

←
DISCUSSION ON
13th Jan (today)

→
DISCUSSION ON
16th Jan (Monday)

Too Dependent on Tax Revenues from Oil

The reported buoyancy in indirect taxes may have much to do with rising oil prices. The finance minister has stated that soaring consumption taxes — by 25% during April-December — cannot imply economic slowdown, but it is possible that higher taxes on petroleum products have revved up the overall figure.

True, central excise duty collections have soared a huge 31.6% in December alone. It seems to suggest smart increase in output generally. Note, however, that the prices of imported crude did double last year (albeit from a low base), and given ad-valorem duties like customs and excise, the revision would have led to a significant surge in tax revenues. Figures available for the first half of 2016-17 at the Petroleum Planning &



Analysis Cell site show that indirect oil taxes have surged by over 20% for the Centre. It is also a fact that retail taxes on petroleum products add up to about 40% of total central indirect tax collections. So, it cannot be gainsaid that oil has contributed heavily to the seeming surge in indirect taxes. However, we do need to modernise our indirect tax structure, broaden the tax base and not be much too disproportionately dependent on petroleum products for revenue. The cascading nature of taxes on oil products, with tax on taxed items par for the course in petroleum, only adds to the surge in tax revenue.

There is a paradigm shift away from oil and fossil fuels, and in the transport sector, non-oil-fuelled vehicles seem likely to become commonplace much sooner than expected earlier. Hence the need to rationalise taxes on oil products in a time-bound fashion. Besides, we need to have goods and services tax for petro-products so as to boost efficiency in transport and logistics. Top-up cesses might be warranted, on account of pollution/greenhouse gas emissions.

THE ECONOMIC TIMES

12th January 2017



Not RBI's Job to Oppose Government

Policy is government's domain, execution RBI's

Many people have tended to read into the Reserve Bank of India's statement that demonetisation of ₹500 and ₹1,000 notes had been suggested to it by the government of India implications that probably are not warranted. The central bank has lost its autonomy and credibility affected, say some, including former Reserve Bank of India governor Yaga Venugopal Reddy. If the assumption is that the central bank should have resisted the move to demonetise high-denomination notes, that assumption is misplaced. The Reserve Bank of India or any other central bank had the duty to carry out the will of the sovereign, as articulated by the duly elected government of the day. Its job is to carry out that mandate well, planning and implementing its execution in an optimal fashion.

In the democratic system of government, the people are the sovereign and Parliament their representative forum. Parliamentary majority throws up the political leadership of the executive. As a political leadership that



enjoys the confidence of the elected people's representative forum, it has the authority of the people to take decisions in their welfare and on their behalf. If the political leadership makes mistakes in their choice of action and policy, the people will punish them. The government's accountability

is to the people. If the government of the day thinks certain currencies have to be demonetised, it is not for an institution with a narrowly defined mandate to thwart that policy choice. This does not mean that the government can take decisions that violate the laws of the land: the courts would step in, if laws are violated.

That being the case, the questions to be asked are different. Did the central bank advise the government as to how to go about demonetising two widely used notes in the least disruptive fashion? Did it devise a plan of action that was optimal? Did it manage execution of the plan efficiently and coherently? All these questions can be answered only in the negative. So, it is inevitable that the Reserve Bank of India will face some flak. But it was not its job to have resisted demonetisation.

Not RBI's Job to Oppose Government

Editorial

THE ECONOMIC TIMES

11th January 2017

Policy is government's domain, execution RBI's

LIVE

- Many people have tended to read into the Reserve Bank of India's statement that demonetisation of Rs. 500 and Rs. 1,000 notes had been suggested to it by the government of India implications that probably are not warranted. The central bank has lost its autonomy and credibility affected, say some, including former Reserve Bank of India Governor Yaga Venugopal Reddy. If the assumption is that the central bank should have resisted the move to demonetise high-denomination notes, that assumption is misplaced. The Reserve Bank of India or any other central bank had the duty to carry out the will of the sovereign, as articulated by the duly elected Government of the day . Its job is to carry out that mandate well, planning and implementing its execution in an optimal fashion.
- In the democratic system of government, the people are the sovereign and Parliament their representative forum. Parliamentary majority throws up the political leadership of the executive. As a political leadership that enjoys the confidence of the elected people's representative forum, it has the authority of the people to take decisions in their welfare and on their behalf. If the political leadership makes mistakes in their choice of action and policy , the people will punish them. The government's accountability is to the people. If the government of the day thinks certain currencies have to be demonetised, it is not for an institution with a narrowly defined mandate to thwart that policy choice. This does not mean that the government can take decisions that violate the laws of the land: the courts would step in, if laws are violated.
- That being the case, the questions to be asked are different. Did the central bank advise the government as to how to go about demonetising two widely used notes in the least disruptive fashion? Did it devise a plan of action that was optimal? Did it manage execution of the plan efficiently and coherently? All these questions can be answered only in the negative. So, it is inevitable that the Reserve Bank of India will face some flak. But it was not its job to have resisted demonetisation.



Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

Many people have tended to read into the Reserve Bank of India's statement that demonetisation of Rs. 500 and Rs. 1,000 notes had been suggested to it by the Government of India *implications* that probably are not *warranted*.

Implications



The effect that an action or decision will have on something else in future

Implications

Warranted



To make a particular activity necessary

Warranted

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

The Central Bank has lost its *autonomy* and *credibility* affected, say some, including former Reserve Bank of India Governor Yaga Venugopal Reddy.

Autonomy



भारत निर्वाचन आयोग
Election Commission of India



Government of India

Union Public Service
Commission

Right of an organisation to be
independent and govern itself

Autonomy

Credibility



Trust or belief on person /
organisation

Credibility

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

If the *assumption* is that the Central bank should have resisted the move to demonetise high-denomination notes, that assumption is *misplaced*.

Assumption

Union Finance Minister
presented the budget,
based on the
assumption that oil
prices will be stable



Something you accept as true,
without proof

Assumption

Misplaced



Misplaced

Directed towards someone /
something without good judgement

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

The Reserve Bank of India or any other Central Bank had the duty to carry out the will of the **sovereign**, as **articulated** by the **duly** elected Government of the day . Its job is to carry out that **mandate** well, planning and implementing its execution in an **optimal** fashion.

Articulated**Articulated****Expressed clearly in effective language**

सत्यमेव जयते

**Duly****In the correct way****Mandate****Authority given to the Govt. to
govern the Country**

Optimal



Most favourable, desirable, extremely
good way

Optimal

Optimum



Govt. should make
optimum use of scarce
resources

Optimum

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

In the democratic system of Government, the people are the sovereign and Parliament their representative forum. Parliamentary majority throws up the political leadership of the executive. As a political leadership that enjoys the confidence of the elected people's representative forum, it has the authority of the people to take decisions in their welfare and on their **behalf**. If the political leadership makes mistakes in their choice of action and policy, the people will punish them. The Government's **accountability** is to the people. If the Government of the day thinks certain currencies have to be demonetised, it is not for an institution with a narrowly defined mandate to **thwart** that policy choice. This does not mean that the Government can take decisions that violate the laws of the land: the courts would step in, if laws are violated.

Behalf



Behalf

Accountability



Accountability

A situation in which someone is responsible for things that happen

Thwart



Thwart

To stop something from happening

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

That being the case, the questions to be asked are different. Did the Central Bank advise the Government as to how to go about demonetising two widely used notes in the least *disruptive* fashion? Did it devise a plan of action that was optimal? Did it manage execution of the plan *efficiently* and *coherently*?

Disruptive



Disruptive

Stopping something from
continuing as usual

Efficiently



DELHI METRO

Operating quickly and effectively in an organised way

Efficiently



ROAD TRAFFIC IN GERMANY

Plan is carefully considered and everything follows in a natural or reasonable way

Coherently

Not RBI's Job to Oppose Government

THE ECONOMIC TIMES
11th January 2017

All these questions can be answered only in the negative. So, it is *inevitable* that the Reserve Bank of India will face some *flak*. But it was not its job to have resisted demonetisation.

Inevitable



Something that is certain to
happen

Inevitable

Flak



Strong criticism or opposition

Flak

Too Dependent on Tax Revenues from Oil

The reported buoyancy in indirect taxes may have much to do with rising oil prices. The finance minister has stated that soaring consumption taxes — by 25% during April-December — cannot imply economic slowdown, but it is possible that higher taxes on petroleum products have revved up the overall figure.

True, central excise duty collections have soared a huge 31.6% in December alone. It seems to suggest smart increase in output generally. Note, however, that the prices of imported crude did double last year (albeit from a low base), and given ad-valorem duties like customs and excise, the revision would have led to a significant surge in tax revenues. Figures available for the first half of 2016-17 at the Petroleum Planning &



Analysis Cell site show that indirect oil taxes have surged by over 20% for the Centre. It is also a fact that retail taxes on petroleum products add up to about 40% of total central indirect tax collections. So, it cannot be gainsaid that oil has contributed heavily to the seeming surge in indirect taxes. However, we do need to modernise our indirect tax structure, broaden the tax base and not be much too disproportionately dependent on petroleum products for revenue. The cascading nature of taxes on oil products, with tax on taxed items par for the course in petroleum, only adds to the surge in tax revenue.

There is a paradigm shift away from oil and fossil fuels, and in the transport sector, non-oil-fuelled vehicles seem likely to become commonplace much sooner than expected earlier. Hence the need to rationalise taxes on oil products in a time-bound fashion. Besides, we need to have goods and services tax for petro-products so as to boost efficiency in transport and logistics. Top-up cesses might be warranted, on account of pollution/greenhouse gas emissions.

DISCUSSION ON

16th Jan (tomorrow)

THE ECONOMIC TIMES

12th January 2017